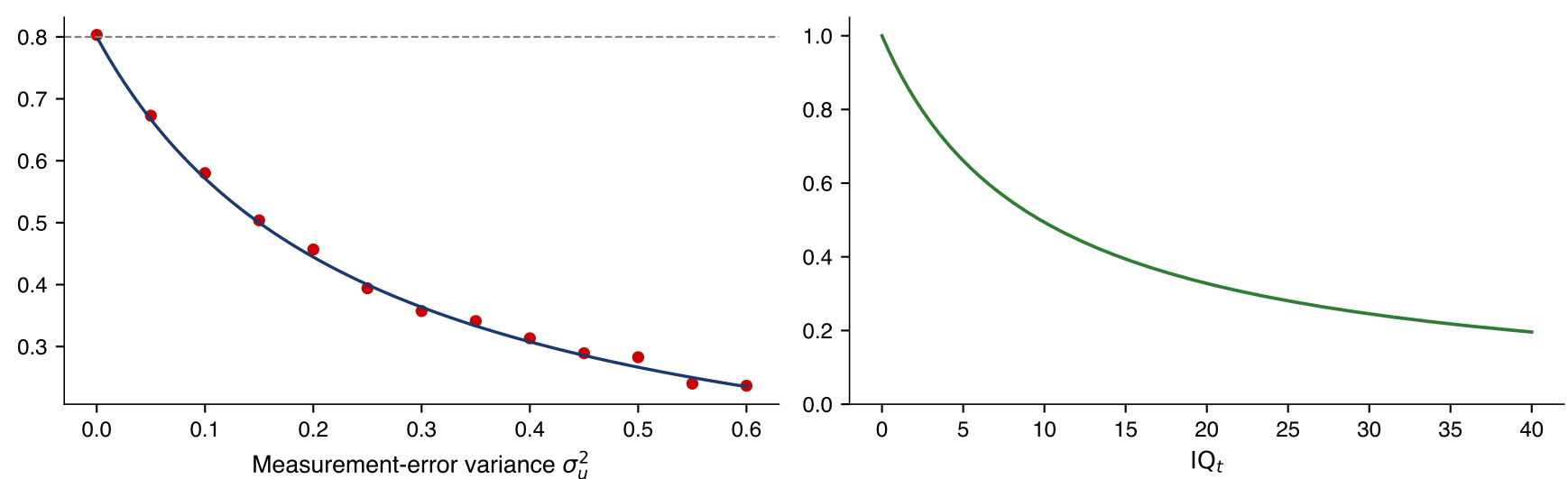




- Simulated OLS slope
- plim: $\beta \text{Var}(\text{IV}) / (\text{Var}(\text{IV}) + \sigma_u^2)$
- True slope $\beta = 0.8$
- Weight $\lambda = \sigma_{IV}^2 / (\sigma_{IV}^2 + 2 \text{IQ}_t / M)$, $M = 78$ (illustration)